Beginning of the End of K-12 Education? Funding Cuts, Layoff Policies, and the Widening Gap Between School Districts

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Atlas Research Institute · United States · November 2026

Abstract. This paper examines how recent funding reductions and policy changes in public education are likely to distribute staffing losses across school districts. After COVID-19, the education system received $189.5 billion through Elementary and Secondary School Emergency Relief (ESSER) funds, which allowed districts to survive. Those funds have now expired. Project 2025 proposed eliminating the federal Department of Education and ending Title I funding over ten years, a change estimated to cost roughly 180,000 teaching positions and affect 2.8 million students. That elimination has not occurred: Congress has not abolished the Department, and the fiscal year 2026 spending package increased its funding, so those estimates describe a scenario rather than an outcome. What has occurred is a loss of about half the Department's workforce since March 2025 and the transfer of program administration to other federal agencies. Data from the Great Recession indicate how funding instability lands. In Texas, high-poverty districts experienced an inequitable share of funding and staffing cuts, and equalizing funding across the poverty distribution would have cost $9.1 billion, a 16.7 percent increase. Last-in, first-out layoff policies deepen the pattern by dismissing the newest teachers first, who are concentrated in high-poverty schools. The paper recommends incorporating measures of teacher effectiveness into layoff decisions and sustaining federal funding rather than delivering it as expiring emergency aid. The evidence is observational and drawn from a different fiscal shock, so it establishes a pattern rather than a forecast.

Keywords. school funding; teacher layoffs; LIFO policies; Title I; educational equity

1. INTRODUCTION

Jill Barshay, an education journalist who writes on education research for The Hechinger Report, considers current times in K-12 education to be a defining point of the future. After COVID-19, the education system was in severe need of funding that came through Elementary and Secondary School Emergency Relief funds known as ESSER (Barshay, 2024; LeFebvre & Master, 2024). These funds accounted for $189.5 billion in relief grants that allowed school districts to survive. However, six years later, these funds have been depleted, causing the creation of imminent budget cuts to the education system (LeFebvre & Master, 2024).

With ESSER being phased out, decisions in the education industry depend heavily upon federal policy. Project 2025, a political initiative whose education chapter claims the federal Department of Education should be eliminated, set out the agenda (Burke, 2023). If the federal Department of Education were to end and Title I funding with it, an estimated 180,000 teachers would lose their jobs, and 2.8 million students would be affected (Center for American Progress, 2024).

With layoffs coming in the future, the occupational outcome of students has widened. Research on school finance shows that a 10 percent increase in per-pupil spending across all twelve school years raises adult wages by 7.25 percent, with the effect concentrated almost entirely among children from low-income families, for whom wages rise 9.5 percent (Jackson, Johnson, & Persico, 2016). School funding therefore does the most for the students most likely to lose it. This pre-existing disparity in educational safety and opportunity between students of high and low income districts is expected to expand with impending teacher layoffs (Carver-Thomas, Kini, & Burns, 2020). Examining recent funding reductions and policy changes in public education highlights growing disparities in staffing and resources across school districts, causing potential long-term impacts on student opportunities and outcomes.

2. ESSER, PROJECT 2025, AND WHAT HAS ACTUALLY HAPPENED

To place this in perspective, the outcome of ESSER funding ending and Project 2025 arriving needs to be addressed. Project 2025 is a political initiative created by a conservative think tank in Washington, D.C., called The Heritage Foundation. During the current administration, many of the enacted policies take inspiration from Project 2025, creating the expectation that its policies regarding the Department of Education would be enacted (Walker, 2024). The policy aims for a ten-year mission that decentralizes

the Department by eliminating federal education programs, ending all Title I funding over ten years, and subsequently giving the power to the states (Burke, 2023).

That elimination has not happened, and the distinction matters for how the rest of this paper should be read. As of November 2026, only Congress can abolish the Department, and Congress has not done so. The fiscal year 2026 spending package increased the Department's funding and rejected the deeper cuts that had been proposed. Title I remains in force. What has changed is administrative: mass layoffs beginning in March 2025 cut the Department's workforce by roughly half, and program administration has since been transferred by interagency agreement to the Departments of Labor, Health and Human Services, Interior, State, Treasury, and Justice.

The practical effect on a district is similar either way. A district planning a staffing budget does not know which agency will administer its largest federal grant or on what timeline, and uncertainty of that kind is budgeted against the same way a cut is. Combined with the end of ESSER, this has created looming budget pressure poised to create a drastic impact across school districts.

3. EVIDENCE FROM THE GREAT RECESSION

With funding being taken from each district, hard decisions have to be made within each administration. Mass layoffs of teachers will be on the rise, as schools will not be able to sustain teacher salaries alongside multiple offered programs (Kraft & Bleiberg, 2022). Past data from funding cuts caused by the Great Recession, which resemble current conditions, differentiate how low and high poverty districts are affected.

This is seen through a study conducted by David Knight, a professor of education policy, which shows that in the state of Texas, high-poverty districts experienced an inequitable share of funding and staffing cuts following the Great Recession (Knight, 2017). More high-poverty districts were pushed to their statutory maximum local tax rate: the share levying the maximum rose from 16.8 percent in 2008 to 32.3 percent in 2013, compared with a rise from 12.0 percent to 21.6 percent among low-poverty districts. A district already at its ceiling has no local instrument left. Knight's study also found that it would cost the state of Texas an extra $9.1 billion, a 16.7 percent increase in state and local education spending, simply to level up funding for high-poverty districts in comparison to wealthier ones (Knight, 2017).

With inequities in funding between low and high-poverty districts, teacher layoffs from the Great Recession cuts showed how high-poverty districts would often lay off more teachers to survive the cuts, often affecting the educational outcomes of students during those cuts (Knight, 2017).

4. LAST-IN, FIRST-OUT LAYOFF POLICIES

These trends relate to modern data, as big funding cuts like the Great Recession are likely to follow current federal retrenchment. Teacher layoffs between low and high-poverty districts are expected to show an even greater disparity based on policies that are meant to ensure employment protection for teachers in dire situations (Barshay, 2024). These employment protection policies are called LIFO policies, or last in, first out (Peske, 2024).

LIFO policies work by protecting teachers on a seniority-based system that prioritizes experience over youth, meaning longevity over measured quality (Peske, 2024). When layoffs are on the rise, LIFO policies lay off younger and newer teachers first, allowing the longer-serving teachers to remain, regardless of their educational output on students (Peske, 2024). With these policies, researchers believe the pre-existing disparity is expected to widen.

Heather Peske, writing for the National Council on Teacher Quality, finds that high-poverty districts often hire younger and newer teachers into their administration, as they hold smaller salaries compared to experienced teachers. Due to their youth, these teachers often build strong relationships with disadvantaged students (Peske, 2024). However, due to LIFO policies, these early-career teachers are often the first to be dismissed during periods of financial instability, regardless of their instructional effectiveness (Barshay, 2024; Boyd et al., 2011).

Education researchers Matthew Kraft and Joshua Bleiberg explain that seniority-based layoffs systematically remove newer teachers who are disproportionately concentrated in high-poverty schools, even when these teachers can demonstrate a strong impact on their classroom (Kraft & Bleiberg, 2022). Because disadvantaged districts rely more heavily on novice teachers stemming from financial limitations, LIFO policies place these schools at greater risk of repeated staffing losses. As a result, high-poverty districts lose teachers who have built relationships with students and developed familiarity with community needs.

Local tax revenue increases the disparity, as high-poverty districts often have to raise local taxes on their neighborhoods when current revenue cannot match the amount needed to survive layoffs (Knight, 2017). On the other hand, low-poverty districts already have a high-yielding rate from their tax revenue, as residents of those neighborhoods earn more, creating more money to survive layoffs (Knight, 2017). With these factors in place, researchers find that LIFO policies combined with beginning funding cuts will create a significant struggle for high-poverty districts compared to low-poverty districts.

5. THE CASE FOR SENIORITY PROTECTIONS

However, regardless of the disparity, some teachers and advocates believe LIFO policies are essential to teacher protection and employment standards. Becky Pringle, president of the National Education Association, argues that seniority-based employment protections are necessary to promote fairness and encourage long-term commitment to the teaching profession (Walker, 2024). Weakening job security by getting rid of LIFO policies may discourage qualified educators from remaining in public schools, especially in high-need communities (Walker, 2024). If educators do not feel safe that their experience will help them survive layoffs, the next generation of teachers might switch to a different profession.

A teacher voices similar concerns in a PBS NewsHour Classroom segment, expressing how she felt concerned when facing frequent layoffs, as it undermines teacher morale regarding job safety (PBS NewsHour Classroom, 2025). Supporters of seniority systems show how they preserve stability and prevent arbitrary dismissals during financial crises. There is also a measurement argument in their favour: effectiveness estimates are noisy for individual teachers and exist for only a fraction of them, so a rule that claims to dismiss on effectiveness may in practice dismiss on measurement error.

Although employment protections aim to promote fairness and stability, research suggests that these ideals often fail under conditions of financial instability. Seniority-based systems prevent districts from retaining effective teachers in high-poverty schools, even when instructional quality is at risk (Kraft & Bleiberg, 2022). These sources indicate that employment protections depend on stable funding resources, which become largely absent as ESSER ends and federal administration is reorganized (LeFebvre & Master, 2024; Walker, 2024).

6. DISCUSSION AND RECOMMENDATIONS

Comparing these perspectives shows that reducing educational inequality requires structural reforms that address funding instability and rigid layoff policies. Incorporating measures of teacher effectiveness into layoff decisions could preserve instructional quality in disadvantaged schools (Boyd et al., 2011; Kraft & Bleiberg, 2022). States adopting this should specify which measures qualify and what reliability they must meet, so that the rule does not become administrator discretion under another name.

Sustained investment is also necessary to stabilize staffing levels and reduce turnover in high-poverty districts (Carver-Thomas et al., 2020). With consistent federal and state funding, abrupt workforce reductions can be prevented, stabilizing both high and low-poverty districts as emergency aid expires (LeFebvre & Master, 2024). A standing allocation of smaller annual size would produce less disruption than a large temporary one, because districts can staff against money they expect to receive again.

Federal agencies should also publish a consolidated schedule stating which agency now administers each K-12 program and through what date, since districts cannot plan against a reorganization whose terms they do not know.

7. LIMITATIONS

No original data. This paper reviews published research and reporting. It collects no new data and performs no original calculation.

No causal claims. Knight (2017) is observational and describes an association within one state during one contraction. Applying it to the present assumes a similarity between two fiscal shocks that differ in origin and scale.

A policy still in motion. The status of the Department of Education described here is current as of November 2026 and is likely to change. The 180,000-position estimate describes the elimination of Title I, which has not occurred.

Single-state staffing evidence. The most specific staffing figures come from Texas, whose school finance system has features that do not generalize cleanly to other states.

8. CONCLUSION

Together, these findings suggest that equitable funding systems and flexible personnel policies are necessary to limit disproportionate harm to high-poverty districts and support long-term educational equity. Federal relief money that kept school staffing intact has expired, and the agency administering the programs that replace it is being restructured faster than Congress has agreed to restructure it. The historical record from the last comparable contraction is that staffing losses track district poverty, and that seniority-based layoff rules deepen the pattern.

A stronger follow-up study would test this rather than repeat it. It would require district-level teacher-to-student ratios and teacher experience distributions from 2023–24 through 2026–27, matched to district poverty and to ESSER allocation per pupil, which would show whether districts that leaned hardest on relief funds for salaries cut hardest when those funds expired.

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CONTRIBUTIONS

Rithik Ramkumar, sole author, developed the research question, gathered and reviewed the sources, built the argument linking funding cuts to seniority-based layoff policies, and wrote the manuscript.